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Test Series: March, 2022

MOCK TEST PAPER –1

INTERMEDIATE: GROUP – I

PAPER – 3: COST AND MANAGEMENT ACCOUNTING

Answers are to be given only in English except in the case of the candidates who have opted for Hindi medium. If a candidate has not opted for Hindi medium his/ her answer in Hindi will not be valued.

Question No. **1** is compulsory.

Attempt any **four** questions from the remaining **five** questions.

Working notes should form part of the answer.

Time Allowed – 3 Hours **Maximum Marks – 100**

1. Answer the following:

(a) SKY Company Ltd., not registered under GST, purchased material 'RPP' from a company, registered under GST. The following information is available for one lot of 5,000 units of material purchased:

Listed price of one lot	₹ 7,50,000
Trade discount	@ 10% on Listed price.
CGST and SGST (Credit Not available)	12% (6% CGST + 6% SGST)
Road Tax paid	₹ 15,000
Freight and Insurance	₹ 51,000
Detention Charges	₹ 15,000
Commission and brokerage on purchases	₹ 30,000
Amount deposited for returnable containers	₹ 90,000
Amount of refund on returning the container	₹ 60,000
Other Expenses	@ 2% of total cost

20% of material shortage is due to normal reasons.

You are required to CALCULATE cost per unit of material purchased to SKY Company Ltd.

(b) The following expenses were incurred on a contract:

	(₹)
Materials purchased	7,20,000
Material drawn from stores	1,20,000
Wages	2,70,000
Plant issued	90,000
Chargeable expenses	90,000
Apportioned indirect expenses	30,000

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The contract was for ₹ 24,00,000 and it commenced on April 1, 2021. The value of the work completed and certified upto 28th February, 2022 was ₹ 15,60,000 of which ₹ 12,48,000 was received in cash, the balance being held back as retention money by the contractee. The value of work completed subsequent to the architect's certificate but before 31st March, 2022 was ₹ 72,000. There were also lying on the site materials of the value of ₹ 48,000. It was estimated that the value of plant as at 31st March, 2022 was ₹ 36,000.

You are required to COMPUTE notional profit on the contract till the year ended 31st March, 2022.

(c) Mili Ltd., a manufacturing company, produces two main products and a by-product out of a joint process. The ratio of output quantities to input quantities of direct material used in the joint process remains consistent on yearly basis.

Company has employed the physical volume method to allocate joint production costs to the main products. The net realizable value of the by-product is used to reduce the joint production costs before the joint costs are allocated to the main products.

During a month, company incurred joint production costs of ₹ 15,00,000. The main products are not marketable at the split off point and thus have to be processed further. Details of company's operation are given in the table below.

Particulars	Product-Q	Product-R	By product
Monthly output in kg.	90,000	1,80,000	75,000
Selling price per kg.	₹ 50	₹ 30	₹ 5
Process costs	₹ 3,00,000	₹ 4,50,000	

FIND OUT the amount of joint product cost that Mili Ltd. would allocate to product-R by using the physical volume method to allocate joint production costs?

(d) Chill Ltd. uses process costing to manufacture water density sensor for hydro sector. The following information pertains to operations for the month of February:

Particulars	Units
Beginning WIP, February 1	22,400
Started in production during February	1,40,000
Completed production during February	1,28,800
Ending work in progress, February 28	33,600

The beginning work in progress was 50% complete for materials and 30% complete for conversion costs. The ending inventory was 80% complete for material and 30% complete for conversion costs.

Costs pertaining to the month of February are as follows:

Beginning inventory costs are material ₹ 1,38,350, direct labour ₹ 1,50,600 and factory overhead ₹ 63,600

Cost incurred during February are material ₹ 23,95,000, direct labour ₹ 9,14,400, factory overheads ₹ 19,55,800.

CALCULATE:

(i) Using the FIFO method, the equivalent units of production for material.

(ii) Cost per equivalent unit for conversion cost. **(4 × 5 Marks = 20 Marks)**

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2. (a) The following data relates to the manufacturing project received for the budgeted output of 19,600 units. You are required to CALCULATE the selling price per unit covering a profit of 25% on the selling price.

Direct materials: 40 sq. m. per unit @ ₹ 10.60 per sq. m.

Direct wages: Bonding department 48 hours per unit @ ₹ 25 per hour

Finishing department 30 hours per unit @ ₹ 19 per hour

Budgeted costs and hours per annum-

Variable overhead:

	(₹)	Total hours
Bonding department	15,00,000	10,00,000
Finishing department	6,00,000	6,00,000

Fixed overhead-

	(₹)
Production	15,68,000
Selling and distribution	7,84,000
Administration (General)	3,92,000

(10 Marks)

(b) Following are the details given:

Budgeted Days	25
Budgeted Fixed Overheads	1,00,000
Budgeted Production	800 units per day
Actual Production	21,000 units
Fixed Overheads are absorbed @ ₹ 10 per hour.	
Fixed overheads efficiency variance	10,000A
Fixed overheads calendar variance	8,000F
Fixed overheads cost variance	15,000A

You are required to CALCULATE:

(a) Actual Fixed Overheads

(b) Actual Days

(c) Actual Hours

(d) Fixed overheads Expenditure variance

(e) Fixed overheads volume variance

(f) Fixed overheads capacity variance **(10 Marks)**

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3. (a) The standard time allowed for a certain piece of work is 240 hours. Normal wage rate is ₹ 75 per hour.

The bonus system applicable to the work is as follows:

Percentage of time saved to time allowed (slab rate)	Bonus
(i) Up to the first 20% of time allowed	25% of the corresponding saving in time.
(ii) For and within the next 30% of time allowed	40% of the corresponding saving in time.
(iii) For and within the next 30% of time allowed	30% of the corresponding saving in time.
(iv) For and within the next 20% of time allowed	10% of the corresponding saving in time.

CALCULATE the total earnings of a worker over the piece of work and his earnings per hour when he takes-

(a) 256 hours,

(b) 120 hours, and

(c) 24 hours respectively. **(10 Marks)**

(b) At budget activity of 80% of total capacity, a company earns a P/V ratio of 30% and a profit of 15% of total sales. Due to covid pandemic resulting in poor demand, the company has to reduce its selling price by 10%. The company was able to achieve a production and sales volume for the year equivalent to 50% of total capacity. The sales value at this level was ₹ 27,00,000 at a reduced price of ₹ 18 per unit. Due to reduction in production, the actual variable cost went up by 5% of the budget.

You are required to:

(i) PREPARE statement of profitability at budget and actual activity.

(ii) FIND P/V ratio and BES (in ₹ and unit of the actual sales activity). **(10 Marks)**

4. (a) YSPP Transport Company is running local city buses. It has a fleet of 20 Buses. Each bus can carry average 40 passengers per day and cover distance of 112.50 kms per day. Due to Covid-19 pandemic, the company is running 90% buses on average.

Below are the operational expenses worked out for the month of November, 2021:

Original cost per bus	₹ 48,00,000
Insurance for 20 buses	₹ 63,36,000 per annum
Diesel & Oil	₹ 10 per km.
Salary of drivers per bus	₹ 25,000
Salary of cleaners per bus	₹ 15,000
Tyres and tubes	₹ 12,58,040
Lubricants	₹ 10,70,000
Repairs	₹ 24,70,000
Road tax per bus	₹ 1,50,000
Administrative overhead	₹ 50,88,000 per annum

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Depreciation on buses is computed @ 20% using Straight Line Method.

Passenger tax is 15% on total taking.

Based on abovementioned information, you are required to COMPUTE the fare to be charged from each passenger per kilometer assuming 25% margin on total taking (Total receipts from passengers.) **(10 Marks)**

(b) The following data relates to manufacturing of a standard product during the month of February, 2022:

Particulars	Amount (in ₹)
Stock of Raw material as on 01-02-2022	1,20,000
Work in Progress as on 01-02-2022	75,000
Purchase of Raw material	3,00,000
Carriage Inwards	30,000
Direct Wages	1,80,000
Cost of special drawing	45,000
Hire charges paid for Plant (Direct)	36,000
Return of Raw Material	60,000
Carriage on return	9,000
Expenses for participation in Industrial exhibition	12,000
Maintenance of office building	3,000
Salary to office staff	37,500
Legal charges	3,750
Depreciation on Delivery van	9,000
Warehousing charges	2,250
Stock of Raw material as on 28-02-2022	45,000
Stock of Work in Progress as on 28-02-2022	36,000

- Store overheads on materials are 10% of material consumed.
- Factory overheads are 20% of the Prime cost.
- 10% of the output was rejected and a sum of ₹ 7,500 was realized on sale of scrap.
- 10% of the finished product was found to be defective and the defective products were rectified at an additional expenditure which is equivalent to 20% of proportionate direct wages.
- The total output was 8,000 units during the month.

You are required to PREPARE a Cost Sheet for the above period showing the:

(i) Cost of Raw Material consumed.

(ii) Prime Cost

(iii) Work Cost

(iv) Cost of Production

(v) Cost of Sales **(10 Marks)**

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5. (a) MG Ltd. manufactures three types of products namely A, B and C. The data relating to a period are as under:

Particulars	A	B	C
Machine hours per unit	10	18	14
Direct Labour hours per unit	4	12	8
Direct Material per unit (₹)	1,350	1,200	1,800
Production (units)	3,000	5,000	20,000

Currently the company uses traditional costing method and absorbs all production overheads on the basis of machine hours. The machine hour rate of overheads is ₹ 90 per hour. Direct labour hour rate is ₹ 300 per hour.

The company proposes to use activity based costing system and the activity analysis is as under:

Particulars	A	B	C
Batch size (units)	150	500	1,000
Number of purchase orders per batch	3	10	8
Number of inspections per batch	5	4	3

The total production overheads are analysed as under:

Machine set up costs	20%
Machine operation costs	30%
Inspection costs	40%
Material procurement related costs	10%

Required:

(i) CALCULATE the cost per unit of each product using traditional method of absorbing all production overheads on the basis of machine hours.

(ii) CALCULATE the cost per unit of each product using activity based costing principles.

(10 Marks)

(b) PM Ltd. has three Production Departments P_1, P_2, P_3 and two Service Departments S_1 and S_2 details pertaining to which are as under:

	P_1	P_2	P_3	S_1	S_2
Direct wages (₹)	60,000	40,000	60,000	30,000	3,900
Working hours	3,070	4,475	2,419	-	-
Value of machines (₹)	12,00,000	16,00,000	20,00,000	1,00,000	1,00,000
H.P. of machines	60	30	50	10	-
Light points	10	15	20	10	5
Floor space (sq. ft.)	2,000	2,500	3,000	2,000	500

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The following figures extracted from the accounting records are relevant:

	(₹)
Rent and Rates	1,00,000
General Lighting	12,000
Indirect Wages	38,780
Power	30,000
Depreciation on Machines	2,00,000
Sundries	1,93,900

The expenses of the service departments are allocated as under:

	P_1	P_2	P_3	S_1	S_2
S_1	20%	30%	40%	-	10%
S_2	40%	20%	30%	10%	-

DETERMINE the total cost of product X which is processed for manufacture in Departments P_1, P_2 and P_3 for 4, 5 and 3 hours respectively, given that its Direct Material Cost is ₹ 1,000 and Direct Labour Cost is ₹ 600. **(10 Marks)**

6. Answer **any four** of the following:

(a) DISTINGUISH clearly between Bin cards and Stores Ledger.

(b) Some of the items of PR Company, a manufacturer of corporate office furniture, are provided below. As the company is in the process of developing a formal cost accounting system, you are required to CLASSIFY the items into three categories namely: (i) Cost tracing (ii) Cost allocation (iii) Non-manufacturing item.

Carpenter wages, Depreciation - office building, Glue for assembly, Lathe department supervisor, Metal brackets for drawers, Factory washroom supplies, Lumber, Samples for trade shows, Lathe depreciation, Lathe operator wages.

(c) In Batch Costing, STATE how is Economic Batch Quantity determined?

(d) EXPLAIN what are the essential pre-requisites of Integrated accounting system?

(e) WHAT is inter-process profit? STATE its advantages and disadvantages. **(4 × 5 =20 Marks)**

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